The risk of damage to the health of the whole financial system. In modern financial world, the collapse of one bank could bring down the whole financial system.

TAKEOVER

The process of one firm acquiring the other, also known as *acquisition.* As opposed to the merger which is an outcome of 'mutual agreement', takeovers are 'hostile' moves.

Takeovers may be classified into three broad categories:

(i) *Horizontal takeovers* involve firms which are direct competitors in the same market;

(ii) *Vertical takeovers* involve the firms having supplier-customer relationship; and

(iii) *Conglomerate takeovers* involve the firms operating in unrelated markets but intend diversification.

TAKEOVER BID

An attempt of acquiring the majority share in a firm by another firm. There are various *terms* to show the *'tactics'* applied in such bids either by the bidder or the bidded firms:

Black Knight

The launch of an unwelcome takeover bid (as the Mittal's for the Arcelor in recent past).

Golden Parachute

A generous severance term written into the employment contracts of the directors (of a firm) which makes it expensive to sack them if the firm is taken over.